battle at the state level and knew how difficult it could be. I came to Washington thinking that it was going to be tough, but that it could be done.

Over time, we rendered a lot of fat out of the government; we reduced the size of the bureaucracy and cut the rate at which the government was growing and spending money, and I'm very proud of that. But the vested interests that hold sway over Congress prevented us from cutting spending nearly as much as I had hoped to, or as the country required.

I'd argued for years that if you cut tax rates, government revenues would go up because lower rates would stimulate economic growth. Well, in the first six years after tax rates started coming down in late 1981, the federal government, despite the lower rates, experienced an increase of $375 billion in tax revenues—more than four times greater than the amount projected before the cuts. This was more than enough to pay for our $140 billion military buildup. But, during this same period, Congress increased *spending* by $450 billion. So, we lost our chance to slash the deficit.

Deficits, as I've often said, aren't caused by too little taxing, they are caused by too much spending. Presidents don't create deficits, Congress does. Presidents can't appropriate a dollar of taxpayers' money; only congressmen can—and Congress is susceptible to all sorts of influences that have nothing to do with good government.

Presidents can propose a budget, lobby to get it passed, and do their best to make sure that government agencies under their control within the executive branch don't waste the money appropriated by Congress. They can veto spending bills passed by Congress. But under our system of separation of powers, it is Congress that determines the programs government finances and how much money is appropriated for each of them.